Tesla, Inc.

TSLA NASDAQ

Hold **$307.35** ▲ 3.03%

12M Price Target	52-Week Range	Market Cap
$340.00	$297.38 – $498.83	$1.21T

TSLA: Bouncing Off Lows But EV Credit Cliff Looms

WHAT HAPPENED

- Stock bounced 3% off yesterday's flush to $298 — but zoom out: TSLA is on pace for its worst July ever, sitting at just 5% of its 52-week range (translation: near the bottom of where it's traded all year). The bounce is mostly Microsoft's blowout earnings lifting all of tech, not anything Tesla-specific.
- Cathie Wood (ARK Invest) is buying the dip aggressively, which is the meme — but the Motley Fool piece flags "$25 billion reasons" the stock fell 15% post-earnings, which points to the EV tax credit loss and China competitive pressure eating into forward numbers.

WHY IT MATTERS

Here's the real story: the "One Big Beautiful Bill" signed by Trump earlier this year killed the $7,500 federal EV tax credit effective September 30, 2025 — and we're now seeing the hangover. That credit was essentially a $7,500 discount the government paid to Tesla buyers, and without it, demand is softening while margins get squeezed. The 3% bounce today is a tech-sector-wide relief rally on Microsoft, not conviction buying in TSLA specifically — volume today (~13M shares) is a fraction of recent sessions, meaning few people are actually chasing this move. The bullish options flow (call buyers piling in near $295-305) suggests traders are betting on a short-term bounce, but that's a tactical trade, not a thesis — the real question is whether robotaxi revenue can offset a shrinking auto business fast enough.

POLICY & POLITICAL WATCH

The big one: the federal EV tax credit expired last September under Trump's tax bill, and CAFE fuel economy standards are being rolled back — both hurt Tesla's regulatory credit business (they used to sell emissions credits to legacy automakers for billions in pure profit; that revenue stream is drying up). On the flip side, the administration is friendly to autonomous vehicle deregulation, and NHTSA (the highway safety agency) is expected to streamline federal rules for robotaxis, which is a direct tailwind for Tesla's Austin robotaxi rollout. Watch also for any China tariff escalation — Tesla's Shanghai gigafactory serves Europe and Asia, so a tit-for-tat with Beijing hits both ends.

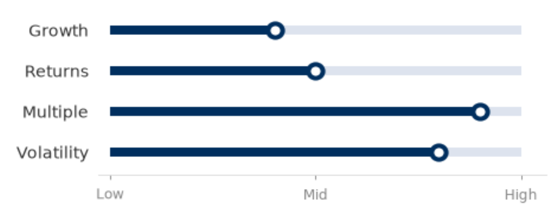
IS IT EXPENSIVE?

At $307, you're paying roughly 166x forward earnings — meaning investors are shelling out $166 for every $1 Tesla is expected to earn next year. For context, Toyota trades at ~10x and even Nvidia is around 35x. This only makes sense if you believe robotaxi and Optimus (the humanoid robot) turn into real businesses — otherwise you're paying a tech multiple for a car company with slowing sales.

Key Data

Key Data	
Price (USD)	**$307.35**
12M Price Target	**$340.00**
Upside / (Downside)	**+10.6%**
Market Cap	**$1.21T**
FY2026E Revenue	**$102M**
FY2027E Revenue	**$118M**
FY2026E EPS	**$1.85**
FY2027E EPS	**$2.60**
Fwd P/E	**166.0x**

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500

AI-Generated Pre-Market Brief | 2026-07-30 14:46 UTC

TSLA — Tesla, Inc. | July 30, 2026

PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	**$335.00**	$310.00	**$275.00**
6 Months	**$400.00**	$320.00	**$240.00**
1 Year	**$475.00**	$340.00	**$220.00**
2 Years	**$600.00**	$380.00	**$180.00**
5 Years	**$900.00**	$500.00	**$150.00**
10 Years	**$1500.00**	$700.00	**$120.00**

WHAT'S MOVING IN THE SECTOR

HEATING UP: Technology (+5.6% today) on Microsoft's earnings crushing AI capex fears — the "AI spending isn't slowing" narrative is back, which indirectly helps TSLA's AI/robotaxi story.

COOLING OFF: Utilities and Financials — money is leaving defensive/rate-sensitive names as risk appetite returns to tech.

ROTATION WATCH: Money is rotating back INTO mega-cap tech and AI beneficiaries after Microsoft's print — but notice TSLA is only up 3% while the tech ETF is up 5.6%, meaning Tesla is UNDERPERFORMING its sector on an up day. That's a tell.

RELATED PLAY: If you want AI/autonomy exposure without Tesla's baggage, look at Mobileye (MBLY) on the autonomous driving software side, or NVDA which supplies the compute for basically everyone in autonomy.

WHO'S WINNING IN THIS SPACE?

- MSFT (Microsoft): Blowout earnings, AI cloud demand accelerating — the tide lifting all tech boats today
- BYD / Chinese EV rivals: Goldman upgraded a Chinese Tesla competitor citing "successful turnaround" — they're winning share while Tesla is losing it

TSLA CONTEXT: Tesla is badly lagging its peer group — sitting at just 5% of its 52-week range while the Nasdaq is near highs. That relative weakness on a strong tape tells you sellers are still in control, and the bounces are being sold. Until TSLA can outperform on an up day, this is dead-cat territory, not a bottom.

WHAT I'D DO WITH THIS STOCK

5/10 Conviction Score

CONVICTION: 5/10 — cautiously neutral. The valuation is stretched for a business that's shrinking, but the robotaxi optionality is real and Musk has bailed this stock out before.

POSITION SIZE: 2-3% max. This is not a table-pounding buy at $307 — it's a "starter position if you must own it" size. Volatility is high and the downside case gets you to $240.

ENTRY POINTS: I'd wait for $285-300 or a clear robotaxi revenue update. Chasing this 3% bounce on low volume is bad risk/reward.

TIME HORIZON: 12-24 months — you're waiting for robotaxi to become a real P&L line item, not a slide deck.

WHEN TO BAIL: Q3 deliveries down more than 10% YoY, auto gross margins under 12%, or robotaxi rollout gets pushed to 2027+. Any of those and the thesis breaks.

HEDGING: Simplest hedge — only put in what you can afford to see cut in half. If you want to get fancy, buy a put option (a contract that pays off if the stock drops) at the $270 strike — costs you a small premium but caps your downside if things get ugly.